

Informational Overview: The Spanish Social Security System

Purpose: This document provides a general overview of the mandatory Spanish Social Security system to assist Interested Offerors in understanding their obligations when employing Spanish National personnel under the Base Operations Support (BOS) contract for Morón Air Base, Spain

Disclaimer: **This overview is for informational purposes only and does not constitute legal advice. Offerors are required to conduct their own due diligence and are strongly advised to consult with local legal and accounting experts in Spain to ensure full compliance with all applicable laws and regulations.**

1. Executive Summary: What Offerors Need to Know

The Spanish Social Security system is primarily administered by the **Social Security General Treasury (Tesorería General de la Seguridad Social - TGSS)**. It is a mandatory, contribution-based system that covers all employees in Spain.

- **Mandatory Participation:** All employers must register their company and every Spanish employee with the TGSS. There are no exceptions for the local national workforce on this contract.
- **Contribution-Based:** The system is funded by monthly contributions paid by both the employee and the employer. The employer is responsible for calculating, withholding the employee's share from their salary, and remitting the total amount (employer + employee shares) to the TGSS.
- **Significant Cost:** Social security contributions represent a significant percentage of an employee's gross salary. This must be factored into any cost proposal for labor.
- **Comprehensive Coverage:** Contributions cover a wide range of benefits for employees, including retirement pensions, healthcare, disability, maternity/paternity, and unemployment.

2. Key Components of the Spanish Social Security System (SGK)

A. Contribution Rates (The Financial Obligation)

Contributions are calculated as a percentage of the employee's gross salary, which is known as the "Contribution Base" (*Base de Cotización*). This base has legally defined minimums and maximums that are updated annually.

The approximate total contribution rates for a standard, indefinite contract are as follows:

Contribution Type	Employee Share (%)	Employer Share (%)	Total (%)
Common Contingencies (Healthcare, standard pension)	4.70%	23.60%	28.30%
Unemployment	1.55%	5.50%	7.05%
Professional Training	0.10%	0.60%	0.70%
Wage Guarantee Fund (FOGASA)	0.00%	0.20%	0.20%
Professional Contingencies (Work Accidents) ¹	0.00%	1.50% (approx.)	1.50%
Total Approximate Cost	6.35%	31.40%	37.5%

¹ The premium for Professional Contingencies (accidentes de trabajo y enfermedades profesionales) varies depending on the official classification of risk for the job activity.

Key Takeaway for Offerors: You must budget for an employer-side contribution of approximately **31.4%** of each employee's gross salary, in addition to the 6.35% you must withhold from the employee's pay.

B. Core Benefits Provided to Employees

The contributions paid by the employer and employee fund the following critical social security benefits:

- **Old-Age Pension (Retirement):** Provides a monthly pension to employees. Eligibility is determined by the number of years contributions have been made and the employee's age. The standard retirement age is gradually increasing and should be verified for the contract period.
- **National Health System (Healthcare):** Provides employees and their eligible dependents with comprehensive healthcare services.
- **Temporary Incapacity:** Provides benefits during periods of common illness or non-work-related injury.
- **Work Accident & Occupational Disease:** Covers medical treatment and provides benefits if an employee is injured on the job.
- **Maternity & Paternity Benefits:** Provides benefits for birth, adoption, and foster care.
- **Unemployment Benefits:** Provides a temporary income for employees who lose their jobs, subject to having made sufficient prior contributions.
- **Wage Guarantee Fund (FOGASA):** A state fund that guarantees payment of employee salaries and severance in the event of employer insolvency.

Official Resources: Offerors should verify all information using official sources.

- **Ministry of Inclusion, Social Security and Migration:** <http://www.seg-social.es>